

Build Steps

Part 1 of 5 — Set up the agent, orchestration, and knowledge

1 Create Your Copilot Studio Agent

Open Copilot Studio (copilotstudio.microsoft.com), select Create → New agent, then configure:

Agent Name	Finance & Budget Copilot
Description	Cost centre owners and finance partners review budget, actuals, variances, and submit variance explanations in conversation.
Solution / Environment	Finance Solution · Default environment
Icon	Use a recognisable colour and emoji or upload a brand icon

2 Choose Orchestration Mode

Under Settings → Generative AI, choose how the agent decides what to do:

Generative Orchestration

Recommended — AI-led

- Agent reasons over user input and picks the right topic, tool, or knowledge
- Handles paraphrases, multi-step asks, and follow-ups naturally
- Best for varied user intent and exploratory questions
- Requires clear instructions, tool descriptions, and good knowledge

Classic Orchestration

Deterministic — trigger-led

- Topics fire on explicit trigger phrases you author
- Predictable flows, easier to audit step-by-step
- Best for tightly-scoped, regulated, or compliance-critical journeys
- Less forgiving of phrasing the author didn't anticipate

For this build we use Generative Orchestration so the agent can blend knowledge lookups with tool calls for budget and variance management.

3 Add Knowledge

Go to the Knowledge tab → Add knowledge → File, then upload Finance_Budget_Data.xlsx. This file contains:

- Cost centre details (code, department, category, owner)
- Financial data (budget, actual, variance amount and percentage)
- Status (On Track, Over Budget, Under Budget)
- Forecast (full-year projection and commentary)

You can layer additional sources later — SharePoint sites, Dataverse, public web, or Graph connectors.

Build Steps

Part 2 of 5 — Add instructions and a custom topic

4 Add Agent Instructions

Open Overview → Instructions and paste the following (these guide the model regardless of orchestration mode):

You are the Finance & Budget Copilot. You help two audiences:

- 1) Cost centre owners reviewing their own spend.
- 2) Finance business partners reviewing a portfolio.

Rules:

- Use the uploaded budget data as your single source of truth.
- For variance, calculate Actual – Budget and (Actual – Budget) / Budget.
- For variance explanations, call the 'Submit Variance Note' tool.
- Highlight Over Budget cost centres and largest absolute variances first.
- Never expose another cost centre's numbers to an owner who doesn't own it.

5 Add a Custom Topic

Go to Topics → Add a topic → Create from description. Topics are reusable conversation flows the agent can call when intent matches.

Topic name: Submit Variance Explanation

Description: Captures an explanation for an over-budget cost centre and logs it against the period for month-end review.

Trigger phrases (Generative Orchestration uses these as intent hints, Classic mode uses them as exact triggers):

- Explain my variance on CC400
- I want to comment on the marketing variance
- Submit a variance note
- Log a reason for being over budget

Conversation steps:

- Identify the cost centre and quarter
- Show the current variance amount and percentage from knowledge
- Ask for: driver, mitigation plan, one-time vs ongoing
- Call the 'Submit Variance Note' tool with the collected inputs
- Confirm submission and offer to notify the FP&A team in Teams

Build Steps

Part 3 of 5 — Add a tool and configure settings

6 Add a Tool

Tools let the agent take an action, not just answer. Go to Tools → Add a tool, and choose one of:

- Prebuilt connector (Outlook, Teams, SharePoint, Dataverse, ServiceNow, etc.)
- Power Automate cloud flow (custom logic you author or already own)
- Custom HTTP request (any REST API your agent can reach)
- Model Context Protocol (MCP) server — for richer tool ecosystems

Tool name: Submit Variance Note

Type: Power Automate flow → SharePoint list 'Variance Notes' + Teams adaptive card

Description: Logs a structured variance explanation and notifies FP&A.

Inputs the agent will collect or infer:

- Cost centre code (string)
- Quarter (string)
- Driver (string)
- Mitigation plan (string)
- Type (One-time / Ongoing)

Outcome: Returns a record ID and posts to the FP&A review channel.

7 Configure Settings

Open the Settings cog (top right). Configure these four areas before you let real users near the agent:

- General — confirm name, description, and primary language
- Generative AI — orchestration mode and content moderation level (start at Medium)
- Authentication — use 'Authenticate with Microsoft' so the agent runs as the signed-in user
- Security — review DLP policy, enabled channels, and end-user authentication

Build Steps

Part 4 of 5 — Evaluate, test, and publish to a channel

8 Evaluate Your Agent

Go to Analytics → Evaluations → New evaluation. Build a test set so you can measure quality before and after every change.

Test set name: Finance & Budget Copilot – Baseline v1
Approach: Pair each input prompt with an expected outcome.
Run the evaluation and review three scores per response:

- Groundedness – did the answer stay inside the knowledge?
- Relevance – did it actually address the question?
- Accuracy – did it match the expected outcome?

Sample evaluation items:

Input: Which of my cost centres are over budget?

Expect: Returns only cost centres owned by the authenticated user.

Input: Show total budget vs actual by department for Q2 FY26

Expect: Sums per department from the rows and calculates variance %.

Input: Submit a variance note for CC400 – driver was pulled-forward Q3 spend

Expect: Triggers Submit Variance Explanation topic and calls the tool.

9 Test in the Test Pane

Use the Test pane (right side of the canvas) while you build. For each query, click Activity map to inspect what the agent did:

- Which topic, tool, or knowledge source fired (and in what order)
- Inputs the agent collected and outputs the tool returned
- Citations linking each answer back to a row of your knowledge file
- Latency per step — useful when tuning multi-tool flows

10 Publish to a Channel

When you're happy, click Publish (top right). Then open Channels and enable the surfaces your users live in:

- Microsoft Teams — submit for admin approval, then pin to a team or chat
- Microsoft 365 Copilot — surface the agent inside Copilot Chat for licensed users
- Custom website — copy the embed snippet for an intranet page
- Other channels — Slack, Facebook, Telephony (Azure Communication Services)

Teams and M365 Copilot channels require tenant admin approval before users see the agent — plan for that lead time.

Try These Live

Part 5 of 5 — Sample queries to test your agent during the build-along.

Variance Review

Which cost centres are Over Budget, sorted by variance %?
What is the largest favourable variance, and what's driving it?

Roll-ups

Show total budget, actual, and variance by department.
Compare full-year forecast vs current actual run-rate by department.

Governed Action

Submit a variance note for CC400 explaining a Q3 pull-forward.
Notify FP&A that CC900 has a new mitigation plan.

How to Think About This Agent

This agent replaces:

- Email chains chasing variance explanations
- Re-cutting numbers for exec decks
- Spreadsheet pivots refreshed by hand

With:

- ✓ Variance reviewed and logged in one conversation
- ✓ Numbers grounded in finance data with citations
- ✓ Structured notes flowing straight to FP&A

Trusted, governed, enterprise AI — built once, used everywhere.

Tip for real-world use

Configure row-level security on the knowledge file so each cost centre owner sees only their own rows. The agent will follow that automatically. For the variance tool, require a manager approval step on amounts above a threshold.

You've built a Copilot Studio agent ✓

You now have an AI agent that can:

- Answer variance and forecast questions
- Surface spend risk and savings
- Capture structured variance notes
- Tighten the close cycle